

\$2**BILLION**

ADANI GROUP RAISED THROUGH STAKE SALE IN JV WITH WILMAR INTERNATIONAL

₹100**CRORE**

SALES ACHIEVED IN TWO YEARS BY ALIFE SOAP, WHICH WAS LAUNCHED IN 2020

\$75**BILLION-PLUS**

CAPEX OUTLAY IN ADANI GROUP'S CORE INFRASTRUCTURE BUSINESS

₹51,500**CRORE**

ADANI WILMAR'S REVENUE IN FINANCIAL YEAR 2023-24. MOST OF IT CAME FROM EDIBLE OILS

gional brands dot the landscape and are very strong in the markets they operate in. To that extent, Fortune's market share is healthy given its presence across many markets and potentially through buyouts, can become even more formidable.

Additionally, the total addressable market for Adani Wilmar's product categories stands at ₹9 lakh crore, led by edible oils and rice (₹2 lakh crore each) and wheat (₹1.5 lakh crore), data from the presentation showed.

Assuming even a small proportion of that gets organised, a player with high-quality and well-known brands coupled with a strong distribution network can gain substantially.

AMBITIOUS PLANS

The company has shown its ability to scale rapidly. For example, it launched personal care brand Alife Soap in 2020, achieving ₹100 crore in sales within two years. It also acquired Kohinoor rice from McCormick Switzerland GMBH, transforming it into a ₹350-crore brand, while branded exports tripled between FY22 and FY24.

Adani Wilmar went public in February 2022, and with a well-set portfolio of brands—led by foods and oils under the flagship Fortune—growth seemed inevitable. However, less than three years later, the Adani Group sold its 44% stake (held by Adani Enterprises) in the company. Of this, 31% was acquired by Singapore-based Wilmar International—a key player in the edible oil business—while the remaining 13% was sold in the open market, generating around \$2

billion. Adani's ₹65-crore stake in Adani Wilmar's equity delivered an impressive return.

Wilmar International, which partnered with the Adani Group in a 50:50 joint venture in 1999, now leads the edible oils market in India with a 20% share.

Several factors may have influenced this decision. The bribery allegations against the Adani Group last

THERE WERE CONCERNS THAT RAISING FUNDS COULD GET DIFFICULT

November have created a perception that raising funds, particularly in overseas markets, in the short to medium term, might be difficult for the company. Additionally, the Group carries substantial consolidated debt—over ₹2.4 lakh crore across its listed companies for FY24—raising concerns about financial flexibility.

FREEING UP FUNDS

In August, Adani Enterprises proposed a demerger of the food FMCG business to bring it under the promoter and promoter group shareholders. However, this plan was withdrawn in October, signalling Adani Group's intent to exit the business altogether.

Industry experts suggest this move aligns with the Group's strategy to allocate capital more effectively. "It was always on the cards,"

Deven R. Choksey, Chairman and MD of wealth management and investment advisory firm DRChoksey Finserv, says. "Typically, the infrastructure businesses deliver a return on equity of 14-15% but that is just about 1% for Adani Wilmar." Choksey adds that the Group likely realised the limitations of playing in commodities, making it difficult to emulate the success of competitors like Hindustan Unilever Limited or ITC Limited. "The proceeds from the sale can be better utilised elsewhere. This decision to exit Wilmar must be viewed as one that is about smart capital allocations and playing to one's core strengths in infrastructure," he says.

The Adani Group's capital expenditure requirements are estimated at over \$75 billion for investments across energy, transport, utilities, and logistics, with a significant focus on new energy initiatives. "There are multiple options available to raise funds including interest from investors in Japan and Europe. In that sense, the consumer business is only a distraction compared to other ambitious forays," says Vinit Bolinjkar, Head of research at Ventura Securities.

He also says that the primary objective with Adani Wilmar was to secure a good price. "With the \$2 billion, it is now possible to leverage that by 3x to raise at least \$6 billion. Fundamentally, we do not see any difficulty for the Adani Group when it comes to raising funds for its big-ticket projects," he says. **BT**

@krishnagopalan